Manufacturer pricing and cost observations

Management accounting workpaper, revised 31 August 2026

CONTRIBUTORS	Germany plant controller / Japan division controller / US Commercial Finance
SOURCE POPULATION	Factory ERP cost ledgers; selected third-party sales; external buyer proposals
SCOPE	2025 manufacturing margin and production-cost allocation, not audited statutory accounts

Industrial systems pricing practice

The manufacturers set many related and unrelated prices using forecast costs, annual volumes, product maturity and customer responsibility for technical support. Asterion US is a regular purchaser with exclusive North American stocking and local field-warranty functions. Independent customers of the German plant purchase in different locations and under different service packages, in several cases with the supplier carrying a longer warranty. The independent sales extracts identify both the product family and material differences in contractual terms.

AX14 plant results for 2025 show intercompany gross consideration of $3,328,200 against factory costs of $3,012,600 before the final manufacturing settlement. The OP03 Japanese plant recorded $2,636,400 against factory costs of $2,389,850. CN08 production booked $1,642,200 against factory costs of $1,597,100. These are plant gross contributions; they do not measure the US tested-party operating profit calculated in the group local file.

CN programme technical cost centre

The Germany cost ledger includes an NPI engineering account, project CN-703, with $72,000 posted into 2025 CN08 factory cost. The plant controller attributes the majority of that amount to current-generation firmware verification, requalification tests and final tooling. Product engineering argues that $45,000 of the work is for a next-generation release scheduled for late 2026 and would not ordinarily be assigned to 2025 CN08 shipments. No corrected statutory manufacturing accounts have been approved; both views appear in the supporting controller correspondence.

Independent CN08 customers in Northern Europe received more extensive field retrofit, installation or warranty terms than Asterion US. The external orders therefore cannot be compared on headline unit invoice price alone. The German commercial office regards those sales as useful evidence of pricing practice; the tax economics team considers them insufficiently homogeneous to set a single export price benchmark without adjustments.

Japan programme cost distinction

The Japanese plant standard cost for OP03 includes its own direct manufacturing engineering, quality-testing and domestic plant overhead. The separate design agreement with Sora Design Lab was paid by Asterion US, and the transfer of the necessary Osaka files is documented in the supply records. Embedded software rights are administered by the Singapore group licensing company. The Japanese manufacturer considers both essential to its continuing OP programme, while US Finance considers that not every payment is part of a factory unit sale.

US resale market evidence

CN08 first-level US independent buyer sales were made in the condition imported. The commercial ledger contains invoices at different unit prices with multiple buyers at each price. The US distribution functions relevant to these sales had ordinary profit and general expenses equivalent to 24 per cent of first-level net resale prices and incurred inland transport to buyers of $70 per unit. Those amounts are evidenced by the related workpapers and are distinct from the broader company-wide operating margin used in the tax study.